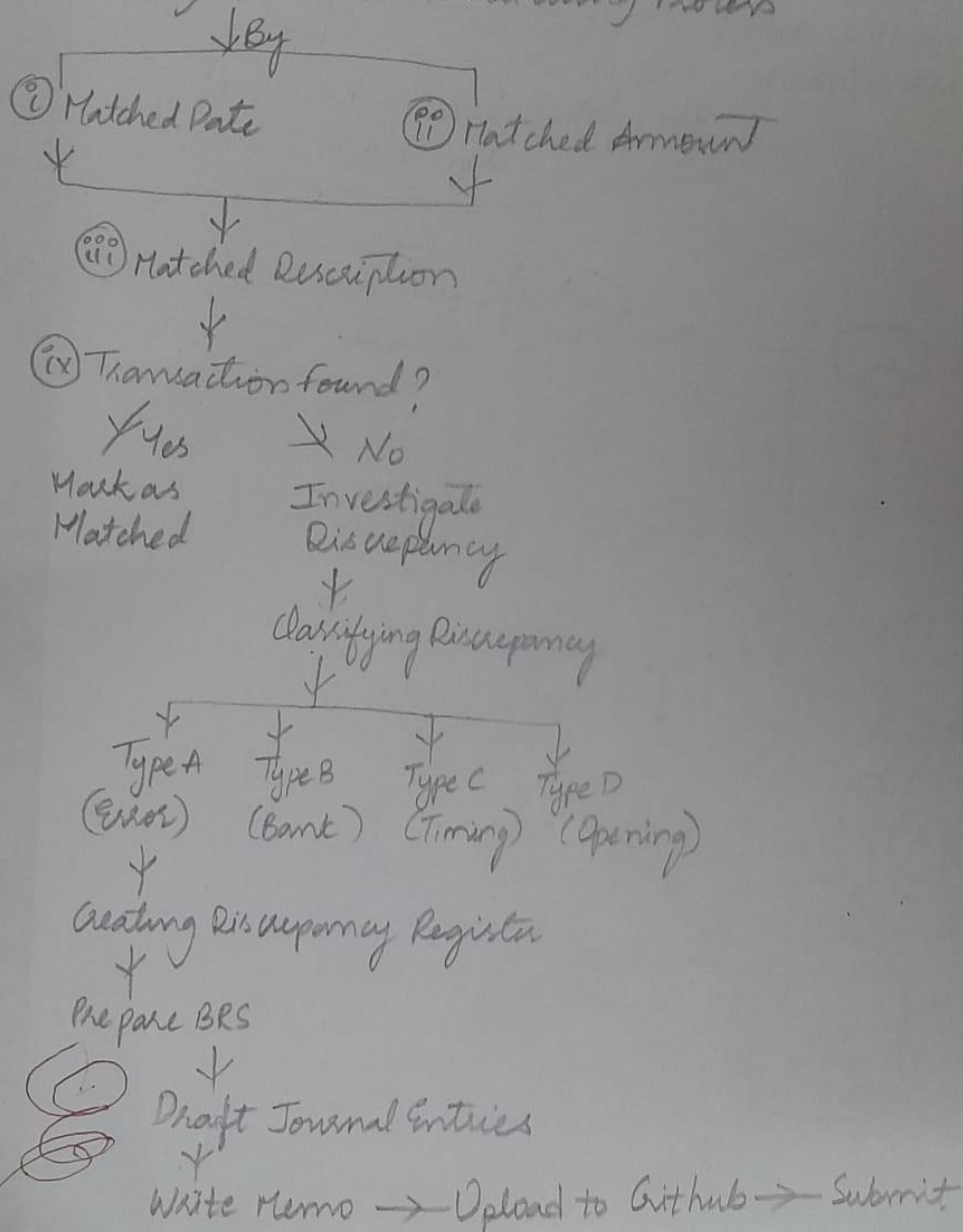
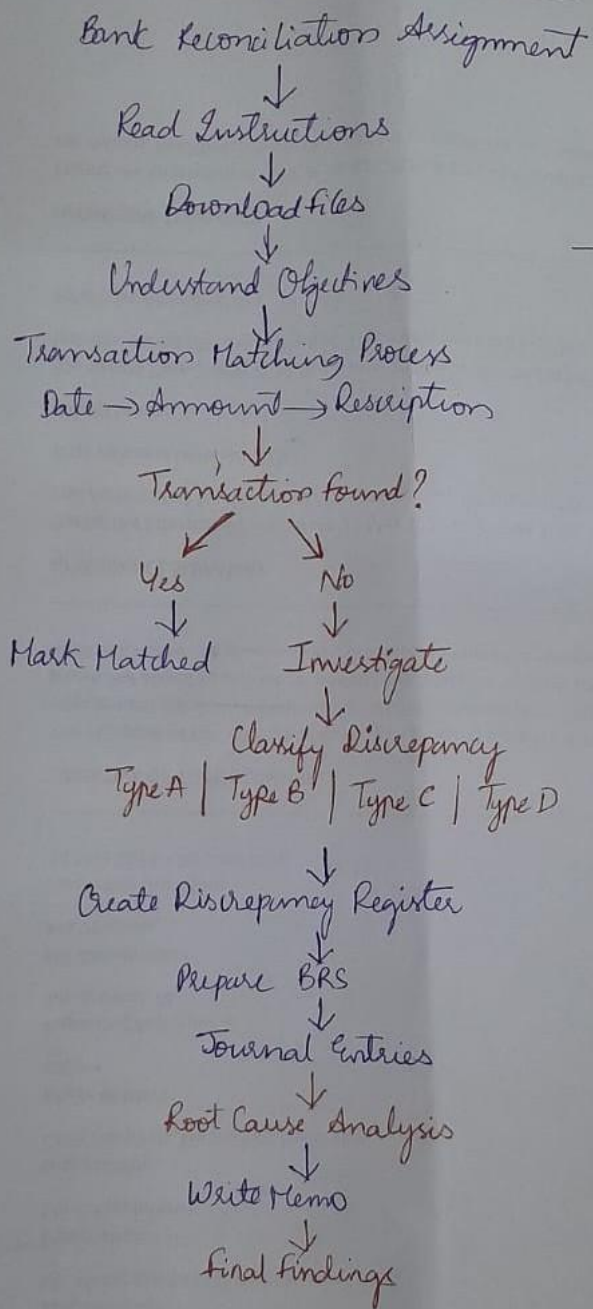


Hand Drawn Thought Process

- ① Project / Assignment Name
- ② About the Assignment
- ③ Reading Assignment Instructions
- ④ Downloading the required files from github repository
- ⑤ Understanding Objecture
- ⑥ Creating Transactions Matching Process



* Handwritten/drawn thought process *



Sources Used

Assignment Instructions
Zoho Ledger
HDFC Statement
Accounting Reference
ChatGPT (for validation)

Hand Drawn Thought Process Report

Assignment Name

Bank Reconciliation Assignment — Arka Tea Traders Pvt Ltd

Objective

To identify discrepancies between the Loho Books Ledger & HDFC Bank Statement, classify them correctly, prepare a Bank Reconciliation Statement (BRS), suggest correcting journal entries, and recommend process improvements.

Step-1: Reading Assignment Instructions

- Read the complete assignment document
- Understand the deliverables:
 - Part-A: Discrepancy Register
 - Part-B: Bank Reconciliation Statement
 - Part-C: Correcting Journal Entries
 - Part-D: Memo to Finance Head
- Noted classification types
 - Type-A - Loho Error
 - Type-B - Bank Error
 - Type-C - Timing Difference
 - Type-D - Opening Balance Issue

Step-2: Downloading and Reviewing Files

Files Received:

1. Arka-Tea-Traders Loho-Ledger.csv
2. Arka-Tea-Traders HDFC Statement.pdf
3. firmassignment.md

Initial Observations:

- Both files cover 01-Jan-2026 to 31-Mar-2026. [Arka-Tea-Traders files]
- Closing balances are different
- Need to identify reasons for mismatch

Step 3: Understanding Bank Reconciliation

Researched:

- What is Bank Reconciliation?
- Purpose of Reconciliation
- Timing differences
- Bank-originated transactions
- Correcting journal entries

Sources used:

- Accounting textbook
- Online accounting articles
- AI explanation tools

Step 4: Data Preparation

Created comparison sheet

Extracted:

- Date
- Description
- Amount
- Debit / Credit nature
- Running balance

from both files

Step 5: Transaction Matching Process

For each transaction

Match 1 → Date

↓

Match 2 → Amount

↓

Match 3 → Description

↓
Transaction found?

YES → Mark as Matched

No → Investigate Discrepancy

Step-6: Discrepancy Investigation

Questions asked:

- Missing in Zoho?
- Missing in Bank?
- Wrong amount?
- Wrong date?
- Duplicate entry?
- Timing issue?
- Opening balance differences?

Step 7: Classification of Discrepancies

If bookkeeping error

→ Type A

If blank error

→ Type B

If timing difference

→ Type C

If opening balance issue

→ Type D

Recorded:

- Root Cause
- Required Collection

for every discrepancy

Step-8: Preparing Part A

Created Discrepancy Register

Included:

- Date
- Description
- Zoho Amount
- Bank Amount
- Difference
- Classification
- Root Cause
- Collection Required

Step 9: Preparing Part B

Started with Zoho closing Balance

Added/Subtracted

- Timing differences
- Missing entries
- Opening balance adjustments

Arrived at Bank Closing Balance

Prepared formal Bank Reconciliation Statement

Step 10: Preparing Part C

For each type A items:

Identified:

- Collect account
- Debit Side
- Credit Side

Prepared journal entries with narration

Step 11: For Step 11: Root Cause Analysis

Why did discrepancies happen?

Possible causes:

- Reconciliation not performed regularly
- Manual bookkeeping errors
- Delayed recording of transactions
- Lack of review process
- No maker-checker control

Step 12: Preparing Part D

Memo structure:

1. What was found.
2. Why it happened.
3. Recommendations

Recommendations

- Monthly reconciliation
- Bank feed automation
- Review mechanisms
- Exception tracking
- Approval controls

Step 13: Final Verification

Checklist:

- ✓ All discrepancies identified
- ✓ All classifications assigned
- ✓ BRS balances correctly
- ✓ Journal entries prepared
- ✓ Memo completed
- ✓ Files uploaded to GitHub
- ✓ Zip file prepared for submission

Learning Outcome

This assignment helped me understand:

- Bank Reconciliation Process
- Accounting Controls
- Root Cause Analysis
- Financial Accuracy
- Use of AI for Accounting tasks
- Structured Problem Solving

Definitions for the Important Terms used in this Assignment

1. Bank Reconciliation

Bank Reconciliation is the process of comparing the company's cashbook (Ledger) with the bank statement to ensure both records match & to identify any differences.

Purpose:

- Detect errors
- Find missing transactions
- Prevent fraud
- Ensure accurate financial records

Example:

Ledger Balance = ₹ 2,76,610

Bank Balance = ₹ 2,73,860

Difference = ₹ 2,750

The reconciliation explains why this difference exists

2. Ledger

The company's internal accounting record maintained in Ledger Books that records all bank-related transactions

Example:

Date	Description	Debit	Credit
10 Jan	Customer Payment	₹ 50,000	—

3. Bank Statement

An official record issued by the bank showing all actual transactions that have occurred in the bank account

Example:

Date	Narration	Debit	Credit
10 Jan	NEFT CR ABC Ltd	₹ 50,000	—

4. Closing Balance

The bank account balance at the end of a specific period.

Formula:

Opening Balance

- Money Received - Money Paid = Closing Balance

5. Opening Balance

The balance carried forward from the previous accounting period.

Example:-

31-Dec-2025 Closing Balance = ₹ 2,40,000

↓

01-Jan-2026 Opening Balance = ₹ 2,40,000

6. Discrepancy.

A difference between the company's records and the bank's records

Example:

Logo shows ₹ 15,000

Bank shows ₹ 12,000

Difference = ₹ 3,000

This is a discrepancy.

7. Discrepancy Register

A document listing every mismatch found during reconciliation

Typical Columns:

- Date
- Description
- Difference
- Classification
- Root Cause
- Correction

8. Classification

It tells why the discrepancy happened.

Type-A - Error in Logo

Meaning

The company's books contain an error

Examples

- ✓ Missing Transaction
- ✓ Wrong amount
- ✓ Wrong date
- ✓ Duplicate entry

Example

Actual Bank Payment ₹ 10,000

Logo Recorded ₹ 1,000

Difference ₹ 9,000

Type-B - Error in Bank

Meaning

The bank made an error

Examples

- Wrong charge
- Wrong debit
- Wrong credit

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Example:

Bank charged £ 500 by mistake

Company owner authorized it

Type C - Timing Difference

Meaning

The transaction is correct but has not yet appeared in both records

No one made a mistake

Example

Company issued cheque on

28 March

Vendor deposits cheque

2 April

Lotho records payment in March

Bank records it in April

Type D - Opening Balance Issue

Meaning

Difference already existed before the current period started

Example

Opening balance in Lotho £ 2,40,000

Opening balance in Bank £ 2,45,000

Difference £ 5,000

9. Timing Difference

A temporary difference caused because one party records a transaction before the other.

Examples

• Outstanding cheque

• Deposit in transit

These usually resolve automatically.

10. Outstanding Cheque

Cheque issued by company but not yet presented to the bank.

Example

Issue date 28 March

Deposited 3 April

*

11. Deposit in Transit

Money recorded in books but not yet credited by the bank.

Example:

Cash deposited 31 March.

Bank credits 1 April

12. Journal Entry

An accounting entry using Debit & Credit to record or correct transactions

Example

Bank charges ₹ 250

Journal Entry

Dr Bank Charges Expense ₹ 250

Cr HDFC Bank ₹ 250

13. Correcting Journal Entry

Entry passed to fix an accounting mistake

Example

Wrong amount entered

Correct amount = ₹ 10,000

Recorded = ₹ 1,000

14. Double Entry System

Entry transaction affects at least two accounts

Example

Paid rent ₹ 20,000

Dr Rent Expense ₹ 20,000

Cr Bank ₹ 20,000

15. Debit (Dr)

For a bank account (Asset):

Money coming INTO the bank increases the balance.

Example

Customer pays ₹ 50,000

Bank Account

Debit ₹ 50,000

16. Credit (Cr)

For a bank account

Money going OUT of the bank decreases the balance.

Example:

Paid Suppliers ₹ 25,000 , Credit Bank ₹ 25,000

17. Debit Note vs Credit Note

Not directly used here but useful

Debit Note

Buyer asks seller to reduce amount payable

Credit Note

Seller reduces buyer's amount due

18. Root Cause Analysis

Finding the actual reason behind a problem instead of only identifying symptoms

Example

Symptom

Missing transactions

Root Cause

Bank reconciliations were not performed monthly

19. Memo

A professional internal communication document

This assignment asks you to explain

- What you found
- Why it happened
- What should improve

20. Bank Reconciliation Statement (BRS)

A report showing how the book balance becomes the bank balance after adjustments

Example

Bank closing balance ₹ 2,76,610

Less Outstanding Cheque ₹ 15,000

Add Deposit in Transit ₹ 10,000

Less Bank Charges ₹ 500

Add Interest Credit ₹ 250

Bank Closing Balance ₹ 2,71,360

21 Bank-Originated Transactions

Transactions initiated by the bank that may not yet be recorded in the company's books

Examples:

- Bank Charges
- Interest earned

*

- Maintenance charges
- Auto-debit fees
- Loan EMI deductions

22. Narration

A short description explaining a transaction

Example:

"NEFT received from Spice Garden Restaurants"

or

"Payment to Packaging Solutions via LTCS"

23. Internal Controls

Policies and procedures designed to ensure accurate accounting and reduce errors or fraud.

Examples:

- Monthly bank reconciliation
- Maker-checker approval process
- Automated bank feeds
- Periodic review of opening balances

24. Maker-checker Process

One person records a transaction (Maker), and another independently reviews & approves it (Checker),

Example:

- Accountant enters a ₹50,000 vendor payment
- Finance Manager verifies the amount, vendor & supporting documents before approval.

25. Bank Feed

An automated connection b/w the bank & accounting software (such as Zoho Books) that imports transactions directly into the ledger.

Benefit: Reduces manual data entry and minimizes recording errors.